

TSMC

July sales on track; 3Q26 to reach mid-high-end of the guidance, led by strong N3 demand and N2 ramp

TSMC's July revenue reached NT\$467.6bn, up 45% YoY and 6% MoM, representing ~32% of JPMe/Bloomberg consensus 3Q26e revenue. We expect 3Q26 sales to come in at the mid- to high-end of guidance, supported by sustained datacenter AI momentum. We expect the AI compute infra investment cycle to remain intact, as highlighted by strong US CSP capex intent and should extend well into 2027, with TSMC investing aggressively to narrow the supply/demand gap – even as competition emerges to capture some unmet demand. On margins, near-term upside in 2H26 appears limited given N2 ramp dilution, but we still expect GMs to remain in the mid- to high-60% range and trend upward over the next few years. We believe TSMC is likely to be on track to reach low 40% USD revenue growth in 2026, followed by another strong 30+% growth year in 2027. Key catalysts for the stock are: 1) an improving CSP capex outlook, 2) further upside in pricing negotiations for 2027, and 3) likely higher capex plans for 2027-28, given strong demand trends. Recent despecing trends in HBM/memory are also likely to drive incremental investor interest towards the AI compute complex, away from memory, in our view (see our Asia Tech Strategy [note](#)).

- **Revenue tracking the mid-to-high end of 3Q guidance; GM to stay resilient despite N2 dilution:** We believe TSMC is on track to reach the mid-to high-end of 3Q26 revenue guidance (US\$44.6-45.8bn, JPMe US\$45.5bn), underpinned by sustained datacenter AI demand and continued strong UTR at leading-edge nodes. As N2 continues to ramp, we forecast 3Q26 GM at ~66.5% (down 1.2ppts QoQ). Looking ahead, we expect margins to remain resilient and hold in the mid- to high-60% range over the next few years, supported by: 1) continued pricing uplift; 2) strong utilization across leading-edge nodes; and 3) improving N2 process maturity and yields. We have seen some investor queries on a potential 3Q26 shortfall due to the Kumamoto earthquake; while TSMC did see some Fab disruption in its Image Sensor (ISP) production for Apple iPhones (through Sony), we believe backup capacity in its Taichung Fab should have been able to pick up the slack, resulting in no meaningful impact to iPhone 18 series release timelines.
- **Datacenter AI demand remains robust with improving visibility; proactive capacity expansion plan ahead:** We estimate TSMC's datacenter AI revenue CAGR at ~69% in 2024-29E, reflecting: 1) clearer demand visibility extending into 2029-30; 2) sustained strength in AI accelerator demand; and 3) the potential inclusion of agentic AI CPUs. In addition, we see model capabilities have been improving on an accelerated pace due to AI scaling laws, which should open up new TAMs for AI workloads. With supply/demand still materially tight, we believe TSMC has become more proactive on capacity investments (JPMe capex US\$81bn/US\$90bn in FY27/28), supporting accelerated build-out across N2, N3, and advanced backend.
- **Leading edge competitiveness remains strong across leading edge and advanced packaging; overall mature foundry capacity still growing:** We believe TSMC's leadership position across foundry and packaging business remains solid, despite fabless customers exploring alternative arrangements amid the continued demand-supply gap in leading edge process nodes.

Overweight

2330.TW, 2330 TT

Price (10 Aug 26): NT\$2380.0

Price Target (Jun-27): NT\$3200.0

Technology and Telecoms

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Looking ahead, we expect TSMC to take a 95+% market share for N2/A16, with A14 leading well ahead of its peers, while mature foundry capacity is also likely to grow on strong AI-peripheral demand. On the packaging side, we don't see Intel EMIB-T posing a material threat to TSMC CoWoS, which is still scaling rapidly (85%/65% YoY in 2026/27), while new packaging technology evolution is also accelerating (3DSolC to more than double by YE 2028 vs YE 2026 and continued progress on CoPoS production ramp).

Investment Thesis, Valuation and Risks

TSMC (*Overweight; Price Target: NT\$3200.0*)

Investment Thesis

We are OW on TSMC, given the increased confidence in AI demand, along with an aggressive capex plan ahead. We believe AI demand visibility is extended to 2029/30 due to the solid accelerator product line-up in the coming years. In response, the company is also accelerating its capacity plan further in order to capture incremental AI demand and leave limited room for potential competition. We believe TSMC's leading industry position is intact with its leading-edge process technology remaining ahead of its peers and its mature nodes continuing to grow with a focus on high value segments. For GMs, we believe it should stay on a slowly upward sloping curve once N2 dilution winds down, due to price increases, better operating efficiency and continued high utilization.

Valuation

Our Jun-27 PT of NT\$3,200 is based on ~20x 12-month forward P/E and reflects strong revenue growth from stronger AI demand and faster capacity growth. Our target multiple is higher than TSMC's five-year average historical multiple.

Risks to Rating and Price Target

Key downside risks to our rating and price target include: (1) the debate on the duration of the AI capex growth cycle and (2) any negative impact from weak PC/Smartphone demand in 2H26.

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TSMC (2330.TW, 2330 TT) Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
20-Oct-23	OW	546.0	700
04-Jan-24	OW	578.0	750
19-Jan-24	OW	588.0	770
06-Mar-24	OW	730.0	850
07-Apr-24	OW	780.0	900
17-Jun-24	OW	922.0	1,080
19-Jul-24	OW	1005.0	1,200
18-Oct-24	OW	1035.0	1,500
13-Apr-25	OW	889.0	1,300
18-Apr-25	OW	847.0	1,275
24-Sep-25	OW	1340.0	1,550
17-Oct-25	OW	1485.0	1,700
07-Jan-26	OW	1705.0	2,100
16-Jan-26	OW	1690.0	2,250
02-Apr-26	OW	1855.0	2,400
17-Apr-26	OW	2085.0	2,500
07-Jul-26	OW	2460.0	3,100
17-Jul-26	OW	2470.0	3,200

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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